

The Balance Sheet

How Much Debt Is Too Much? — Lesson Explainer

The Concept

The balance sheet is built on one identity: $\text{Assets} = \text{Liabilities} + \text{Equity}$. Assets are everything owned; liabilities are everything owed; equity is what's left for shareholders.

Current ratio (current assets / current liabilities) measures short-term liquidity. Debt-to-equity (total debt / shareholder equity) measures leverage. Neither has one 'correct' number - capital-intensive industries naturally carry more debt than asset-light ones. The goal is spotting outliers.

The Balance Sheet Equation, Illustrated

Assets		Liabilities + Equity	
Cash & equivalents	\$40M	Short-term debt & payables	\$45M
Inventory & receivables	\$60M	Long-term debt	\$80M
Property & equipment	\$150M	Shareholder equity	\$125M
Total Assets	\$250M	Total Liab. + Equity	\$250M

Both sides match: \$250M of assets is funded by \$125M of debt and \$125M of equity. Debt-to-equity = $\$125\text{M} / \$125\text{M} = 1.0$ - a reasonably balanced position, though the 'right' number depends heavily on the industry.

5 Things to Know About the Balance Sheet

1. Assets always equal liabilities plus equity - if not, the accounting is wrong.
2. Current ratio below 1 is a liquidity warning - current liabilities exceed current assets.
3. Debt-to-equity has no universal 'good' number - it varies a lot by industry.
4. Rising debt isn't automatically bad - growth-funding debt differs from loss-covering debt.
5. The balance sheet is a snapshot, not a trend - compare several periods, not just one.

4 Things to Check When Reading a Balance Sheet

- Check the current ratio - below 1 is a flag worth investigating further.
- Check debt-to-equity vs peers, not a generic benchmark.
- Track the trend over time - is debt rising faster than equity or assets?
- Ask why debt exists - check the cash flow statement for the answer.

Worth knowing:

the balance sheet is a snapshot at one moment, not the full story. Pair it with the income statement and cash flow statement - a company can look fine here while its underlying trend is deteriorating.

Quiz — Answer the questions, then check the key on the next page

1. What is the fundamental balance sheet equation?

- A. Revenue = Expenses + Profit
- B. Cash = Assets - Liabilities
- C. Assets = Liabilities + Equity
- D. Equity = Revenue - Debt

2. What does a current ratio below 1.0 suggest?

- A. The company has no debt at all
- B. Current liabilities exceed current assets - a potential liquidity warning
- C. The company is definitely about to go bankrupt
- D. The stock is undervalued

3. Why doesn't debt-to-equity have one universal 'good' number?

- A. Because debt is always bad regardless of context
- B. Because equity never matters
- C. Because the ratio is calculated differently every year
- D. Because capital-intensive industries naturally carry more debt

4. Why isn't rising debt automatically a bad sign?

- A. Growth-funding debt differs from debt covering ongoing losses
- B. Debt is always good no matter the reason
- C. Rising debt always means the stock will go up
- D. Debt has no effect on a company's risk

5. With \$125M debt and \$125M equity, what is the debt-to-equity ratio?

- A. 0.5
- B. 2.0
- C. 1.0
- D. 125

Answer Key

1. What is the fundamental balance sheet equation?

Correct answer: C. Assets = Liabilities + Equity

Everything a company owns equals what it owes plus what belongs to shareholders.

2. What does a current ratio below 1.0 suggest?

Correct answer: B. Current liabilities exceed current assets - a potential liquidity warning

Worth investigating further, though not an automatic crisis.

3. Why doesn't debt-to-equity have one universal 'good' number?

Correct answer: D. Because capital-intensive industries naturally carry more debt

A utility or airline naturally runs higher debt-to-equity than an asset-light software company.

4. Why isn't rising debt automatically a bad sign?

Correct answer: A. Growth-funding debt differs from debt covering ongoing losses

The reason behind rising debt matters - expansion vs plugging losses are very different signals.

5. With \$125M debt and \$125M equity, what is the debt-to-equity ratio?

Correct answer: C. 1.0

Debt-to-equity = $\$125\text{M} / \$125\text{M} = 1.0$ - debt and equity fund the business equally.